



Dear Investor,

Just as it appeared that the worst of Covid is behind us and the supply chain disruptions are getting normalised geopolitical tension escalated globally in the last week as Russia invaded Ukraine. Fearing a war like situation, equity markets across the world plunged and oil prices surged over \$100 per barrel on unease about possible disruption of Russian supplies. The latest developments in this context has been the removal of Russia and Russian banks from the SWIFT platform. Russia is heavily reliant on SWIFT due to its exports of hydrocarbons denominated in U.S. dollars. The cutoff would terminate all international transactions, trigger currency volatility, and cause massive capital outflows. SWIFT sanctions has the potential to again disrupt the commodities markets on the upside.

A geopolitical event always comes up with a short-term reaction in the market because equity is always considered as a volatile and highly risky asset class vs gold and G-Secs. While the market will likely remain under pressure in the near term, we believe that medium to long term growth prospects of Indian equities remains intact, given the strong economic recovery in key macroeconomic indicators such as sturdy capex spends and corporate earnings.

We may not see a quick bounce back to all-time highs unless the situation resolves, most previous market corrections have been succeeded by equally strong recoveries. For example, after a 60% fall in 2008, Sensex recovered 100% in 2009-10 and during the pandemic Nifty had fallen to levels of 7500 in 2020 from which it bounced to highs of 18,604 in 1.5 years' time.

Finally, as we pass through these uncertain times, the best investment strategy to deploy funds would be "**Accumulation**" of the following stocks over the next few weeks rather than one-time lump sum investment.

Tata Consumer Products:

Tata Consumer has two strong verticals in the India business **1) Tata Tea 2) Tata Salt** wherein it is targeting lower double-digit growth, driven by a) cross-selling between the Foods biz and Tea distribution channel and b) expansion into new geographies.

Tata Sampann which deals in pulses and spices is expected to record high double digit growth. Market Size of Pulses stands at Rs 1500bn and Spices at Rs 600bn mainly dominated by un-organised players. Company's Foods portfolio was further enhanced through the acquisition of Kottaram Agro Foods Pvt Limited (brand **Soulfull**) which opens up significant opportunities in the fast-growing 'On-theTable' and 'On-the-Go' segment.

TCPL acquisition of **Tata SmartFoodz Ltd. (TSFL)**, owner of the brand Tata Q will enable to expand the portfolio into higher margin, value added categories and to cater to the growing consumer need for healthy, tasty and convenient food offerings.

Conclusion: We are positive on Tata Consumers position in the market and its growth opportunities. We arrive at a **target price of INR 850** (50x FY24E EPS of Rs. 17).

Krishna Institute of Medical Sciences:

KIMS is the largest corporate healthcare group in **Andhra Pradesh (AP) and Telangana** in terms of number of patients treated and treatments offered. They operate 12 multispecialty hospitals (including recent sunshine acquisition) under the “KIMS Hospitals” brand, with an aggregate bed capacity of 3,662 beds as of December 31, 2021, which are ~ 2x more beds than the 2nd largest provider in AP and Telangana.

KIMS’ differentiated, unique model of affordable pricing (Lowest ARPOB : Average revenue per operating bed) & doctor equity participation has driven high occupancies and allowed it to create a profitable hospital business model in both tier-1 & tier-2/3 markets, although some of the larger peers have found it challenging to scale-up their hospitals in tier-2/3 cities in India

Strong EBITDA Conversion to operating cash flow of ~80% allows it to grow through internal accruals without much reliance on debt. KIMS has aggressive capex plan of ~Rs.1500 crs.

It aims to increase bed capacity by ~50% (~1,700 beds) by FY26 mainly through robust internal accruals of ~350–400 crs p.a. It reported healthy financials with revenue/EBITDA/PAT CAGR of 21%/28%/49.5% respectively over FY16–21.

Conclusion: with superior operating metrics & future growth plans we believe KIMS could be a consistent compounder in years to come. We value KIMS at 22x FY24E EV/EBITDA & arrive at **target price of INR 1,620** implying a 34% upside to current market price of Rs 1,205.

CDSL:

CDSL is one of the two depositories in India. It is in a niche category with limited competition and very little scope for additional competition. The company earns annuity-like income as well as market driven income. It is set to benefit from incremental demat account openings, active market participation from investors and the boom of IPOs.

Tier 2 and 3 participations have increased which is a big positive. Certain different initiatives like IFSC (including bullion and spot coal trading) and Accreditation Agency are yet to start while the Insurance Repository and Commodity Repository businesses will aid disruptive growth going forward (pertaining to certain catalytical changes). Annual Issuer Charges are yet to be revised, which will contribute to incremental income. We believe there are a lot of triggers yet to play out (including certain big IPOs). We remain positive on the stock for all the factors mentioned above.

Conclusion: We expect CDSL to deliver EPS of 36.2 in FY23E and 40.1 in FY24E. We maintain our BUY rating with **target price of INR 1,763**.

Multiplex

Strong Recovery in Q3: Multiplex saw a strong recovery in Q3 led by a strong performance of movies such as Sooryavanshi, Spiderman, Pushpa , '83. The recovery was strong considering delayed reopening of theatres and occupancy restrictions in some states. Inox and PVR both saw an increase in the Average Ticket Price in Q3. Due to the rationalization measures taken up by the multiplex the management has indicated 8 to 10% of cost savings to be achieved over a period of time thereby helping to increase the profitability.

Triggers going forward:

We believe the risk from OTT is overhyped as the economics of taking a movie directly to OTT for a reasonable budget movie is not compelling. Given the strong content pipeline across languages, announcement of release date of fresh big-budget content and higher pace of vaccinations, we expect a meaningful recovery in Indian multiplex industry. Besides, we expect further consolidation in the industry wherein 8 to 10% of the single screen to be shut down due to covid pain which would help the multiplex players to strengthen their positioning.

Conclusion: Inox is currently trading at an EV/EBITDA multiple of 8.3x FY23e EBITDA. We therefore remain positive on the long-term prospects and retain a BUY rating on the stock, with an increased **target price of INR 541** (earlier target INR 448), indicating an upside of 33% based on our FY24 estimates.

PVR is currently trading at an EV/EBITDA multiple of 12x / 8x FY23e / FY24e EBITDA. We retain our BUY rating on the stock and upgrade our **target price to INR 2,001** (from INR 1,924) indicating an upside of 26% based on our FY24 estimates.

Asian Paints:

Asian Paints gained value market share of 270bp from other organized players in 2QFY22, which persisted in 3QFY22 as well. It has also gained some share from unorganized peers.

We expect paints industry to grow at 12–13% while earnings growth is likely to be higher over the next 4–5 years. In Q3FY22, Co. witnessed 18% volume growth in decorative segment while strong double digit growth in industrial Paints. 15% price hike taken in Nov/Dec across products leading to sequential improvement in margins.

Conclusion: We believe the long term story in the paints industry is intact and Asian Paints will be able to maintain its leadership position. We arrive at a **target price of INR 3,540** (60x FY24E EPS of Rs. 59).

Tata Consultancy Services:

IT industry is by far in the best phase of growth in history as clients, during the pandemic, realized the importance of digitization and Cloud across the industries. Additionally, there is extremely high visibility with significant growth and momentum led by strong order book and robust deal pipeline in FY22. TCS' Growth and Transformation agenda over the next 3–4 years is based on strong

upskilling and reskilling of workforce in Research, Innovation & Intellectual Property. TCS' portfolio of products and platforms is the hidden gem and will be the next trigger and driver of growth for the company. Lastly, it is best placed in terms of size, scale and capabilities to absorb the huge demand in technology. Management believes that the multiyear technology cycle is playing out in the Horizon 1,2 and 3 format. Horizon 1 is Cloud migration which is playing out globally | Horizon 2 will take over and cloud native capabilities will be leveraged to transform the company's core and connectivity with partners is enhanced | Horizon 3 – where ecosystem play becomes an important driver for the entire industry and this is the space where TCS plans to act as an anchor to the system

Conclusion: TCS is currently trading at 29.4x / 26.6x FY23e / FY24e EPS. We recommend a BUY on the stock with a **target price of INR 3,943.**

Wipro:

Order bookings increased by 27% YoY in ACV terms, Highest ever bookings, Q3 saw 60% YoY increase TCv in orders between \$10–30 Mn. Rapid expansion in small and mid-size deals. Clients in the industry of Healthcare, industrial manufacturing, retail brokerage and tech-driven market place were among the large deal wins. Win rate expanded by 300bps. Seen good YoY growth geographically, 22% in Americas1, 33% in Americas2, 40% in UK, 24% in Germany. 9 new clients entered > \$50 Mn while 7 new clients entered > \$100 Mn. Acquisitions which have taken place are related to existing businesses. We recommend a BUY with a **target price of INR 650.**

Tata Steel:

Better than expected results largely due to better realization and lower than expected cost increase. India NSR improved by INR 1565/tn while EBITDA/tn at INR 28,658/tn was better than expectations of 25k–26k/tn. EU EBITDA/tn at \$183/tn was a bit lower than expectations due to higher energy costs. Expecting EBITDA/tn to decline by INR 5000–6000 in India business while that of EU should improve by \$20–30/tn in Q4. Acquisition of NINL by TATA Steel Long products is a positive as it gives enough land to expand to 10mtpa from 1mtpa currently along with access to 100mt of iron ore. Net debt has reduced to 62,869cr from 75,389cr at the start of FY22 despite of WC build up of 14,000cr and capex of 7200 cr.

Conclusion:

Steel prices in the longer term are expected to remain structurally high owing to China maintaining production levels and hence scaling back from the exports market. The market is placing too much emphasis on near term price volatility of raw materials and finished products rather than structural improvements in margin and debt profile of these stocks which were highly leveraged. We continue to remain positive on Tata Steel valuing at an EV/EBITDA of 6x FY24 with a **target price of INR 1,420.**

Banks:

Amidst geo political tensions, we expect large banks to outperform on the back of normalisation of provisions. Large bank's Q3 results came in line with our expectations with no negative surprise in asset quality. Bank's also showed robust advances growth and we expect corporate credit growth to see an uptick in Q4. With RBI governor maintaining accommodative stance there should be no

dearth of liquidity available for banks to lend. We expect cost of deposit to remain muted which will drive NII growth. Among the Private sector banks we recommend **Axis Bank & ICICI Bank** and within the public sector bank space we like **State Bank of India**. We assign a 'BUY' rating to **Axis Bank** with a **price target of INR 991**, valuing the core bank at 2x FY23 ABV and subs at Rs 103. We are positive on **ICICI Bank** with a **price target of INR 974**, valuing the stock at 3.3x FY23E standalone P/ABV and ascribing a value of Rs 141 for subsidiaries. We value **SBI** at 1.8x FY23E adjusted book value arriving at a **target price of Rs 553**.

Key Summary:

Name of the Company	CMP	Target price	Upside %
Tata consumer products	716	850	19%
KIMS	1,270	1,620	28%
CDSL	1,358	1,763	30%
Inox Leisure	417	541	30%
PVR	1,629	2,001	23%
Asian Paints	3,172	3,540	12%
TCS	3,550	3,943	11%
Wipro	556	650	17%
Tata Steel	1,218	1,420	17%
Axis Bank	742	991	34%
ICICI Bank	742	974	31%
SBI	484	553	17%

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